Learning From a Bad Trade

WHAT DO YOU do when a trade goes awry?

That was the subtext of a *Wall Street Journal* column on Christmas Day, “Eleven Years in the Making: Breaking Even on JPMorgan’s Purchase of Bear Stearns.”[241]

“It only took 4,209 days, but I am finally even!!!”

So declared Stephen Bearce, then a broker at Wells Fargo. He had taken a flier on 100 Bear Stearns shares amid its epic collapse from $171.51—its all-time record closing price on January 12, 2007—to where Bearce bought it at $30 a share on Friday, March 14, 2008. Over the weekend, it was sold in a pre-bankruptcy fire sale to JPMorgan Chase & Co. at $2 a share in stock. (Eventually, JPMorgan raised its bid to $10.) It took 4,209 days—more than a decade—for gains in JPM shares to bring Bearce’s investment back to break even.

Why did Bearce buy stock in Bear Stearns? It was a speculation on the chance the investment bank would be taken over at a premium, making him a quick buck. The lesson offered in the column—“Money is made slowly and lost quickly”—doesn’t truly do the trade much justice.

On a hunch there might be other more useful insights for investors, I reached out to some of the savviest traders and portfolio managers I know. What follows are some of their takeaways from our email exchanges about trades gone bad.

Avoid rationalizing errors

John Roque, former analyst and strategist at Soros Fund Management, and now a managing director at Wolfe Research, urges analysts:

> Admit you’re wrong immediately. If you’re on the sell side and publishing research, your (buy-side) clients will have more respect for